Eli Lilly and Company (LLY)

Good quarter, full valuation: Market Perform, PT $705

Rating	**Market Perform**
Price target (12-month)	**$705**
Price (May 4, 2026 close)	**$692.09**
Implied return	**2%**
Market cap	**$623 billion**
Analyst	**Ben Okafor, CFA**

Key points

• Q1 2026 revenue of $13.1 billion (26% y/y) versus consensus $13.1 billion; Non-GAAP EPS $4.68 versus $4.58 consensus.

• Capacity additions in Concord and Lebanon lift injectable supply by roughly 60% exiting 2026, which we see as the key unlock for international launches.

• We note the Prescription Drug Affordability Act of 2026 (federal price negotiation extended to the commercial market) as the main policy overhang; our model assumes a 4% net price headwind from 2028.

Our view

Lilly delivered a solid quarter, but we think the shares already discount the good news. Cardiometabolic Health grew 35%; the debate from here is about the second derivative rather than the direction.

Management's commentary was confident on demand but vague on margins. We raise our estimates: see the table below. Our rating is relative to our Pharmaceuticals coverage and our price target horizon is 12-month.

Estimates

	2025A	2026E	2027E
Revenue ($bn)	49.3	61.7	79.3
EPS (GAAP)	$16.42	$19.27	$26.74
P/E at current price	42.1x	35.9x	25.9x
Dividend per share	$6.00	$6.00	$6.00

EPS in this table is on a GAAP basis; the company reports a Non-GAAP figure as its headline. Fiscal years are the company's.

Valuation

Our $705 price target is based on 26x our 2027 EPS estimate, a discount to the stock's three-year average multiple, cross-checked with a DCF (WACC 7.9%, terminal growth 2.8%).

Risks to our view

• Supply constraints persist longer than we model

• Competitive oral GLP-1 launches compress price

• Drug-pricing legislation extends to the commercial market

Important disclosures

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Rating category	Count	% of coverage	% investment banking clients
Outperform	21	33%	20%
Market Perform	20	32%	30%
Underperform	22	35%	40%

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